Costing Methods: 50 MCQ Practice Bank

Marginal, Absorption, Standard, and Uniform Costing

Section A: Marginal Costing

1. In marginal costing, which costs are treated as product costs?

A. Fixed costs only
B. Variable costs only
C. Both fixed and variable costs
D. Semi-variable costs only

Answer: B

2. Marginal costing is also known as:

A. Direct costing
B. Absorption costing
C. Historical costing
D. Standard costing

Answer: A

3. Contribution is equal to:

A. Sales − Fixed Costs
B. Sales − Variable Costs
C. Fixed Costs + Profit
D. Both B and C

Answer: D

4. Under marginal costing, inventory is valued at:

A. Total cost
B. Fixed production cost
C. Variable production cost
D. Market price

Answer: C

5. Marginal cost is the change in total cost resulting from producing:

A. A batch of products
B. One additional unit of output
C. A new product line
D. None of the above

Answer: B

6. Which of the following is true about Fixed Costs in marginal costing?

A. They are apportioned to products
B. They are treated as period costs and charged to the Profit & Loss account
C. They are carried forward to the next period as inventory
D. They are ignored completely

Answer: B

8. If sales are Rs. 100,000, variable costs are Rs. 60,000, and fixed costs are Rs. 30,000, the profit under marginal costing is:

A. Rs. 40,000
B. Rs. 10,000
C. Rs. 70,000
D. Rs. 30,000

Answer: B

9. Marginal costing assumes that all costs can be classified into:

A. Direct and indirect costs
B. Fixed and variable costs
C. Controllable and uncontrollable costs
D. Normal and abnormal costs

Answer: B

10. In a period where production exactly equals sales, the profit calculated under marginal costing compared to absorption costing will be:

A. Higher
B. Lower
C. Equal
D. Unpredictable

Answer: C

11. A sunk cost is:

A. Relevant for marginal costing decisions
B. A future cost that differs between alternatives
C. A historical cost that cannot be changed
D. A variable cost

Answer: C

12. The Profit/Volume (P/V) ratio is unaffected by changes in:

A. Selling price per unit
B. Variable cost per unit
C. Total fixed costs
D. Sales mix

Answer: C

13. In a make-or-buy decision using marginal costing, a company should 'make' if:

A. Marginal cost of making is less than the purchase price
B. Total cost of making is less than the purchase price
C. Fixed costs are high
D. The purchase price equals marginal cost

Answer: A

14. Which statement is false regarding marginal costing?

A. It avoids arbitrary apportionment of fixed overheads
B. It is highly suitable for external financial reporting
C. It highlights the contribution of each product
D. It simplifies the valuation of stock

Section B: Absorption Costing

16. Absorption costing is also known as:

A. Variable costing
B. Direct costing
C. Full costing
D. Marginal costing

Answer: C

17. Under absorption costing, fixed manufacturing overheads are:

A. Treated as period costs
B. Ignored in product valuation
C. Absorbed into the cost of units produced
D. Charged directly to the Profit & Loss account

Answer: C

18. When production is greater than sales (inventory increases), the profit under absorption costing will be:

A. Higher than marginal costing profit
B. Lower than marginal costing profit
C. Equal to marginal costing profit
D. Zero

Answer: A

19. Which of the following items is included in inventory valuation under absorption costing but excluded under marginal costing?

A. Direct Materials
B. Direct Labor
C. Variable Manufacturing Overheads
D. Fixed Manufacturing Overheads

Answer: D

20. The problem of over or under-absorption of overheads arises only in:

A. Marginal Costing
B. Standard Costing
C. Absorption Costing
D. Uniform Costing

Answer: C

21. In absorption costing, gross profit is calculated by deducting:

A. Variable costs from sales
B. Total manufacturing costs (fixed + variable) from sales
C. Fixed costs from sales
D. Non-manufacturing costs from sales

Answer: B

22. Which costing method is generally required for external reporting and tax purposes (e.g., GAAP/IFRS)?

A. Marginal Costing

24. Fixed production overheads are absorbed based on a predetermined rate. If actual hours worked are less than budgeted, it typically results in:

A. Over-absorption of overheads
B. Under-absorption of overheads
C. No effect on overheads
D. Increase in fixed costs

Answer: B

25. If sales exceed production (inventory decreases), absorption costing profit will be:

A. Higher than marginal costing profit
B. Lower than marginal costing profit
C. Equal to marginal costing profit
D. Unchanged

Answer: B

Section C: Standard Costing

26. Standard costing is a technique of:

A. Cost ascertainment
B. Cost reduction
C. Cost control
D. Cost allocation

Answer: C

27. A standard cost is a:

A. Historical cost
B. Predetermined cost representing what a product *should* cost
C. Sunk cost
D. Variable cost only

Answer: B

28. The difference between standard cost and actual cost is known as:

A. Profit
B. Variance
C. Margin
D. Contribution

Answer: B

29. Material Price Variance is calculated as:

A. (Standard Price − Actual Price) × Actual Quantity
B. (Standard Price − Actual Price) × Standard Quantity
C. (Standard Quantity − Actual Quantity) × Standard Price
D. (Standard Quantity − Actual Quantity) × Actual Price

Answer: A

30. An adverse (unfavorable) variance occurs when:

A. Actual cost < Standard cost
B. Actual cost > Standard cost
C. Standard cost = Actual cost

32. Labor Rate Variance is equal to:

A. (Standard Hours − Actual Hours) × Standard Rate
B. (Standard Rate − Actual Rate) × Actual Hours
C. (Standard Rate − Actual Rate) × Standard Hours
D. (Standard Hours − Actual Hours) × Actual Rate

Answer: B

33. Which variance arises due to workers taking more time than allowed to complete a job?

A. Labor Rate Variance
B. Labor Mix Variance
C. Labor Efficiency Variance
D. Labor Yield Variance

Answer: C

34. A 'Basic Standard' is:

A. A standard established for use over a long period
B. A standard based on ideal conditions
C. A standard that is updated monthly
D. A standard based solely on historical averages

Answer: A

35. Idle Time Variance is always:

A. Favorable
B. Adverse
C. Zero
D. Equal to efficiency variance

Answer: B

36. If Standard Cost = Rs. 1,000 and Actual Cost = Rs. 1,200, the variance is:

A. Rs. 200 Favorable
B. Rs. 200 Adverse
C. Rs. 2,200
D. Rs. 1,000

Answer: B

37. Standard costing is most suitable for:

A. Job order industries
B. Process industries with repetitive mass production
C. Service industries like hospitals
D. Custom contract businesses

Answer: B

38. Overhead Volume Variance is a part of:

A. Variable Overhead Variance
B. Fixed Overhead Variance
C. Material Variance
D. Labor Variance

Answer: B

40. Material Cost Variance is the sum of:

A. Material Price Variance + Material Usage Variance
B. Material Mix Variance + Material Yield Variance
C. Labor Rate Variance + Material Price Variance
D. Fixed Overhead + Variable Overhead

Answer: A

Section D: Uniform Costing

41. Uniform costing is:

A. A distinct, separate method of costing like process costing
B. The use of the same costing principles by several undertakings in the same industry
C. Costing applied only to uniform, identical products
D. A technique used only in monopolies

Answer: B

42. The main purpose of uniform costing is to:

A. Increase competition blindly
B. Facilitate inter-firm comparison
C. Avoid paying taxes
D. Standardize selling prices across all industries

Answer: B

43. Which of the following is essential for the success of uniform costing?

A. Mutual trust and cooperation among participating firms
B. All firms must be of the exact same size
C. Government mandate
D. Zero variance in standard costs

Answer: A

44. A document providing comprehensive guidelines for uniform costing to participating firms is called a:

A. Cost Sheet
B. Cost Manual
C. Standard Ledger
D. Master Budget

Answer: B

45. Inter-firm comparison involves comparing:

A. Historical costs with standard costs of a single firm
B. Financial and cost performance of different firms in an industry
C. Actual costs with budgeted costs
D. Marginal cost with absorption cost

Answer: B

46. Uniform costing is extremely helpful in:

A. Negotiating with trade unions and government
B. Hiding inefficiencies
C. Eliminating fixed costs entirely

48. A major limitation of uniform costing is that:

A. It creates unhealthy competition
B. Firms may be hesitant to share confidential cost data
C. It violates accounting standards
D. It is only applicable to small-scale industries

Answer: B

49. Inter-firm comparison is often facilitated by:

A. A central trade association or independent body
B. The lowest performing firm
C. Shareholders of the individual firms
D. Creditors

Answer: A

50. To make inter-firm comparison meaningful, it is highly recommended to use:

A. Ratios instead of absolute figures
B. Only absolute profit figures
C. Different accounting periods for different firms
D. Historical costs from a decade ago

Answer: A

End of Practice Questions

This workbook covered four major areas of management accounting: Marginal Costing, Absorption Costing, Standard Costing, and Uniform Costing.